

L02-4

EXERCISE 2.2

Preparing a Balance Sheet

The night manager of Willis Transportation Service, who had no accounting background, prepared the following balance sheet for the company at February 28, current year. The dollar amounts were taken directly from the company's accounting records and are correct. However, the balance sheet contains a number of errors in its headings, format, and the classification of assets, liabilities, and owners' equity.

WILLIS TRANSPORTATION SERVICE			
MANAGER'S REPORT			
8 P.M. THURSDAY			
Assets		Owners' Equity	
Capital Stock	\$ 110,400	Accounts Receivable	\$ 84,000
Retained Earnings	74,400	Notes Payable	345,600
Cash	94,800	Supplies	16,800
Building	96,000	Land	84,000
Automobiles	198,000	Accounts Payable	43,200
	<u>\$573,600</u>		<u>\$573,600</u>

Prepare a corrected balance sheet. Include a proper heading.

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EXERCISE 2.3

Preparing a Balance Sheet

The balance sheet items of Kiner Company as of December 31, current year, follow in random order. Prepare a balance sheet for the company, using a similar sequence for assets as illustrated in Exhibit 2–9. You must compute the amount for Retained Earnings.

Land	\$90,000	Office Equipment	\$ 12,400
Accounts Payable	43,800	Building	210,000
Accounts Receivable	56,700	Capital Stock	88,000
Cash	36,300	Notes Payable	207,000
		Retained Earnings	?

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EXERCISE 2.4

Accounting Principles and Asset Valuation

The following cases relate to the valuation of assets. Consider each case independently.

- a. World-Wide Travel Agency has office supplies costing \$1,400 on hand at the balance sheet date. These supplies were purchased from a supplier that does not give cash refunds. World-Wide's management believes that the company could sell these supplies for no more than \$500 if it were to advertise them for sale. However, the company expects to use these supplies and to purchase more when they are gone. In its balance sheet, the supplies were presented at \$500.
- b. Perez Corporation purchased land in 1957 for \$40,000. In the current year, it purchased a similar parcel of land for \$300,000. In its current year balance sheet, the company presented these two parcels of land at a combined amount of \$340,000.
- c. At December 30, year 1, Felix, Inc., purchased a computer system from a mail-order supplier for \$14,000. The retail value of the system—according to the mail-order supplier—was \$20,000. On January 7, however, the system was stolen during a burglary. In its December 31, year 1, balance sheet, Felix showed this computer system at \$14,000 and made no reference to its retail value or to the burglary. The December balance sheet was issued in February year 2.

In each case, indicate the appropriate balance sheet amount of the asset under generally accepted accounting principles. If the amount assigned by the company is incorrect, briefly explain the accounting principles that have been violated. If the amount is correct, identify the accounting principles that justify this amount.

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EXERCISE 2.5

Using the Accounting Equation

Compute the missing amounts in the following table.

	Assets	=	Liabilities	+	Owners' Equity
a.	\$635,000		\$342,000		?
b.	?		562,500		\$610,000
c.	307,500		?		187,200

L02-6**EXERCISE 2.11**

Statement of Cash Flows

During the month of October, current year, Weller Company had the following transactions.

- Revenues of \$14,400 were earned and received in cash.
- Bank loans of \$3,600 were paid off.
- Equipment of \$3,000 was purchased for cash.
- Expenses of \$9,120 were paid.
- Additional shares of capital stock were sold for \$9,000 cash.

Assuming that the cash balance at the beginning of the month was \$8,940, prepare a statement of cash flows that displays operating, investing, and financing activities and that reconciles the beginning and ending cash balances.

L02-5**EXERCISE 2.12**

Income Statement

Jiminez, Inc., had the following transactions during the month of March, current year. Prepare an income statement based on this information, being careful to include only those items that should appear in that financial statement.

- Cash received from bank loans was \$10,000.
- Revenues earned and received in cash were \$9,850.
- Dividends of \$4,000 were paid to stockholders.
- Expenses incurred and paid were \$5,465.

An inexperienced accountant for Prestwick Company prepared the following income statement for the month of August, current year.

PRESTWICK COMPANY
AUGUST 31, CURRENT YEAR

Revenues:			
Services provided to customers		\$17,000	
Investment by stockholders		5,000	
Loan from bank		<u>15,000</u>	\$37,000
Expenses:			
Payments to long-term creditors		\$11,700	
Expenses required to provide services to customers		7,800	
Purchase of land		<u>16,000</u>	<u>35,500</u>
Net income			<u>\$ 1,500</u>

L02-6**EXERCISE 2.14**

Statement of Cash Flows

Prepare a revised income statement in accordance with generally accepted accounting principles.

On the basis of the information for Prestwick Company in Exercise 2.13, prepare a statement of cash flows in a form consistent with generally accepted accounting principles. You may assume all transactions were in cash and that the beginning cash balance was \$7,200.

L02-9**EXERCISE 2.15**

Window Dressing Financial Statements

Prepare a two-column analysis that illustrates steps management might take to improve the appearance of its company's financial statements. In the left column, briefly identify three steps that might be taken. In the right column, briefly describe for each step the impact on the balance sheet, income statement, and statement of cash flows. If there is no impact on one or more of these financial statements, indicate that.

L02-4, L02-5, L02-6**EXERCISE 2.16**

Home Depot, Inc., Financial Statements

Locate the balance sheet, income statement, and statement of cash flows of **Home Depot, Inc.**, in Appendix A of your text. Review those statements and then respond to the following for the year ended February 3, 2019 (fiscal year 2018).

- Did the company have a net income or net loss for the year? How much?
- What were the cash balances at the beginning and end of the year? What were the most important causes of the cash increase during the year? (Treat "cash equivalents" as if they were cash.)
- What are the two largest assets and two largest liabilities included in the company's balance sheet at the end of the year?

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PROBLEM 2.3A

Recording the Effects of Transactions

Maxwell Communications was organized on December 1 of the current year and had the following account balances at December 31, listed in tabular form.

Assets						=	Liabilities			+	Owners' Equity		
Cash	+	Office Equipment	+	Building	+	Land	=	Notes Payable	+	Accounts Payable	+	Capital Stock	
Balances	\$37,000		\$51,250		\$125,000		\$95,000		\$80,000		\$28,250		\$200,000

- Early in January, the following transactions were carried out by Maxwell Communications.
- 1. Sold capital stock to owners for \$35,000.
 - 2. Purchased land and a small office building for a total price of \$90,000, of which \$35,000 was the value of the land and \$55,000 was the value of the building. Paid \$22,500 in cash and signed a note payable for the remaining \$67,500.
 - 3. Bought several computer systems on credit for \$9,500 (30-day open account).
 - 4. Obtained a loan from Capital Bank in the amount of \$20,000. Signed a note payable.
 - 5. Paid the \$22,250 account payable due as of December 31.

Instructions

- a. List the December 31 balances of assets, liabilities, and owners' equity in tabular form as shown.
- b. Record the effects of each of the five transactions in the format illustrated in Exhibit 2-11. Show the totals for all columns after each transaction.

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PROBLEM 2.4A

An Alternate Problem on Recording the Effects of Transactions

The items making up the balance sheet of Phillips Truck Rental at December 31 are listed as follows in tabular form similar to the illustration of the accounting equation in Exhibit 2-11.

Assets						=	Liabilities			+	Owners' Equity		
	Cash	+	Accounts Receivable	+	Office Equipment	+	Trucks	=	Notes Payable	+	Accounts Payable	+	Capital Stock
Balances	\$9,500		\$13,900		\$3,800		\$68,000		\$20,000		\$10,200		\$65,000

- During a short period after December 31, Phillips Truck Rental had the following transactions.
- 1. Bought office equipment at a cost of \$2,700. Paid cash.
 - 2. Collected \$4,000 of accounts receivable.
 - 3. Paid \$3,200 of accounts payable.
 - 4. Borrowed \$10,000 from a bank. Signed a note payable for that amount.
 - 5. Purchased two trucks for \$30,500. Paid \$15,000 cash and signed a note payable for the balance.
 - 6. Sold additional stock to investors for \$85,000.

Instructions

- a. List the December 31 balances of assets, liabilities, and owners' equity in tabular form as shown.
- b. Record the effects of each of the six transactions in the preceding tabular arrangement. Show the totals for all columns after each transaction.